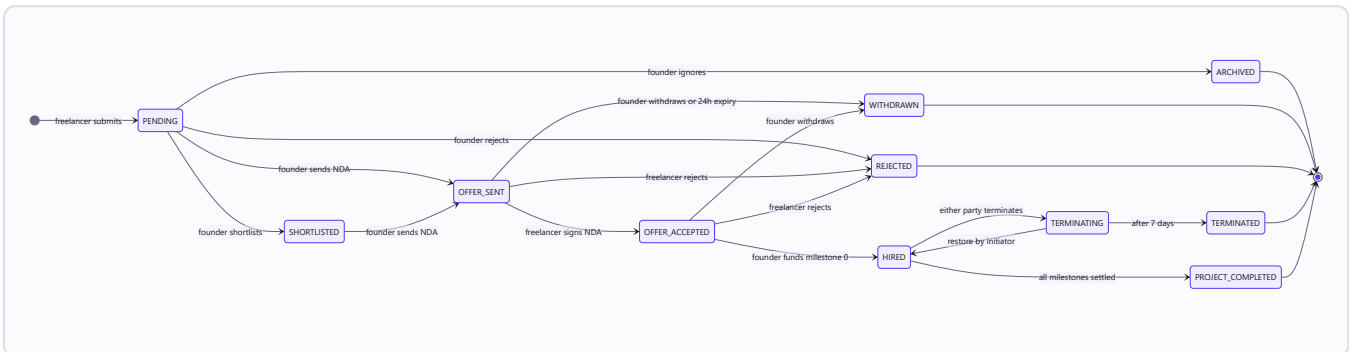


The proposal lifecycle, end to end

Every state a proposal can hold, who moves it, what the project does alongside it, and the places the code does something you would not guess from the status name.

The state machine

Eleven live states. Five are terminal.



Payment is the hinge. **HIRED** is reachable only by funding milestone 0, so it is the one status that proves money moved. Everything before it is reversible by either side; everything after it goes through terminate.

Who moves what

TRANSITION	ACTOR	REQUIRES
→ PENDING	freelancer	Project published. Drafts also sit at PENDING, hidden by <code>is_draft</code> .
→ SHORTLISTED	founder	—
→ ARCHIVED	founder · system	Silent ignore. Bulk-set when a project is unpublished.
→ REJECTED	founder	Reason required.
→ OFFER_SENT	founder	Uploads NDA. One active offer per project.
→ OFFER_ACCEPTED	freelancer	Signs NDA. Verified bank + Razorpay account.
→ HIRED	founder	Funds milestone 0.
→ WITHDRAWN	founder · cron	Reason required. <code>NOW ALSO AT OFFER_ACCEPTED</code>
→ REJECTED	freelancer	Reason required. <code>NOW ALSO AT OFFER_ACCEPTED</code>
→ TERMINATING	either party	Only from HIRED. Reason required.
→ TERMINATED	cron	7 days after termination is scheduled.
→ PROJECT_COMPLETED	founder · auto	Every milestone paid or completed.

What the project does alongside

The project has its own status, coupled to the proposal at exactly three moments.

PROJECT	SET WHEN	MEANING
PUBLISHED	Founder publishes — and stays here through the whole offer dance	Open to proposals.
IN_PROGRESS	Milestone 0 funded <code>CHANGED</code>	Someone is being paid to work on this.
PUBLISHED	Contract terminates	Back on the market.
COMPLETED	Project completed	Terminal, atomic with <code>PROJECT_COMPLETED</code> .

This changed on 16 July 2026 — committed, not yet deployed

The project used to go `IN_PROGRESS` the moment the freelancer signed the NDA, before any money moved. So it left the market on a promise, and `IN_PROGRESS` could not be read as evidence of payment. It now moves at the hire. Read `IN_PROGRESS` as “some proposal here is paid for” — which is why withdrawing an unpaid offer deliberately leaves project status alone.

After the hire

Milestones run on two independent axes: a `status` and a `payment_status`. Deliverables drive both.

- Founder approves milestone scope → the milestone locks (`is_approved`).
- Founder funds it → `payment_status: FUNDED`, money sits in escrow, `on_hold`.
- Freelancer submits a deliverable → `SUBMITTED`. Founder approves, or a cron auto-approves after 48h.
- All deliverables approved → milestone `COMPLETED`. Founder releases → `RELEASED` / `PAID`.
- All milestones settled → 48h later the project auto-completes, if anything happens to read it.

The scheduled jobs that touch this

JOB	CADENCE	DOES
offer-auto-expiry	*/15	Unsigned offer past 24h → <code>WITHDRAWN</code>
scheduled-contract-termination	*/15	<code>TERMINATING</code> → <code>TERMINATED</code> , republishes project
deliverable-auto-approve	*/15	Deliverable stuck 48h in <code>SUBMITTED</code> → approved
invoice-auto-approve	*/15	Approves invoices — and quietly drives project auto-completion

A fifth job, `scheduled-termination`, deletes user accounts. It is unrelated to contracts despite the name.

Things the names do not tell you

A captured payment can leave the proposal unhired

HIRED is written only when the browser calls back to `/billing/verify-payment`. The Razorpay webhook never touches proposal status. If that call is lost — closed tab, dropped network — the money is taken and the proposal sits at OFFER_ACCEPTED with nothing to reconcile it.

No transition is illegal

`updateProposalStatus` validates the target status and the caller's ownership. It never looks at the current status — so a HIRED or TERMINATED proposal can be driven back to SHORTLISTED. There is no transition table anywhere in the codebase; the diagram above is what the code intends, not what it enforces.

"Request changes" is not a status

It writes an activity row and some remarks. The proposal stays PENDING, so nothing in the status distinguishes a proposal awaiting changes from one nobody has touched. Editing it clears the remarks.

Not answering in 24h is recorded as withdrawal

An expired offer lands on WITHDRAWN — the same status as a founder yanking it. That status permanently blocks re-inviting the freelancer to the project. Someone who was simply asleep is treated like someone whose offer was pulled.

Offers without an NDA never expire

`offer_expires_at` is derived from `nda_sent_at`, and the expiry job filters on `is_nda_signed: false`. A no-NDA project's offer has neither, so it sits at OFFER_SENT forever — even though the job writes copy for exactly that case.

A milestone can be marked paid with no transaction

`performMilestoneRelease` looks up the escrow row, then releases. If it finds nothing, there is no `else` — the milestone is still stamped RELEASED / PAID.

Archived proposals lie to the freelancer

ARCHIVED is rewritten to PENDING when the freelancer reads it. From their side, an ignored proposal is indistinguishable from one still under consideration.

Activities are queued, not written

Every activity goes through a job queue, so feed rows lag the status write and vanish if the worker drops the job. The feed is a narration of the lifecycle, not a record of it.

Dead states

Declared in the enum, written by nothing: `DECLINED` `OFFER_REJECTED` `InviteStatus.IGNORED`
`MilestoneStatus.IN_PROGRESS`

`OFFER_REJECTED` is the trap: it reads as the status a rejected offer would take, but `declineOffer` writes plain `REJECTED`. The UI checks for both.

Invitations are a separate track

A founder inviting a freelancer creates a `ProjectInvite`, not a proposal. Accepting the invite marks it `ACCEPTED` and nothing else — the freelancer still has to submit a proposal to enter the lifecycle above. The two tracks touch at one point: creating a proposal marks any matching pending invite as accepted.

Traced from `ProposalService.ts`, `BillingController.ts`, `MilestoneService.ts`, `DeliverableService.ts` and `src/schedule/init/` on 16 July 2026. Items tagged “now also at `OFFER_ACCEPTED`” and “changed” are committed but not yet deployed.